L And T Insurance Co Ltd vs Bindudevi Samharu Yadav on 19 January, 2026

C/FA/517/2019 JUDGM

IN THE HIGH COURT OF GUJARAT AT AHMEDABAD

R/FIRST APPEAL NO. 517 of 2019

With
CIVIL APPLICATION (FOR WITHDRAWAL/DISBURSEMENT OF AMOUNT)
NO. 1 of 2025
In R/FIRST APPEAL NO. 517 of 2019

FOR APPROVAL AND SIGNATURE:

HONOURABLE MR.JUSTICE MOOL CHAND TYAGI

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Approved for Reporting Yes

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L AND T INSURANCE CO LTD
Versus
BINDUDEVI SAMHARU YADAV & ORS.
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Appearance:
MR RATHIN P RAVAL(5013) for the Appellant(s) No. 1
NISHIT A BHALODI(9597) for the Defendant(s) No. 2,3,4
RULE NOT RECD BACK for the Defendant(s) No. 1
RULE SERVED for the Defendant(s) No. 6
RULE UNSERVED for the Defendant(s) No. 5
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CORAM:HONOURABLE MR.JUSTICE MOOL CHAND TYAGI

Date : 19/01/2026

ORAL JUDGMENT

1. The captioned appeal is filed against the impugned judgment and award dated 12.10.2018 passed by learned Motor Accident Claims Tribunal (Auxiliary), Navsari in MACP No.125/2013, whereby the learnerd Tribunal had partly allowed the claim petition and awarded a sum of Rs.12,12,400/- as a compensation along with interest at the rate NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined of 9% per annum from the date of filing of claim petition till its realization.

2. The succinct facts leading to file the captioned appeal are that on 19.05.2013, at about 1:00 pm, deceased-Sunil Samharu Yadav was going from Bharuch to Selvas and Dadra Nagar Haveli by driving tempo, loaded with yarn, bearing registration no.DN-09-K-9486. During the course of journey, the tyre of the said tempo got punctured, therefore, he parked the said tempo on the left side of the road and when he was changing the wheel, in the meantime, one truck dumper bearing registration no.GJ-18-X-9452, which was being driven by respondent no.5 herein, came at excessive speed, in rash and negligent manner thereby endangering the human life and when the said dumper truck reached near the godown of Reliance Company on National Highway No.8 Ahmedabad-Mumbai, it dashed with the said tempo bearing registration no. DN-09-K-9486 from the behind and as a result of which the deceased-Sunil Samharu Yadav sustained grievous injuries and resultantly, he succumbed to the injuries. The complaint for the said offence came to be registered at Navsari Rural Police Station vide FIR being I-CR No.97/2013. It is also the case of the claimants before the learned Tribunal that at the time of accident, the deceased was aged about 28 years and he was earning a sum of Rs.14,000/- per month as a driver on tempo bearing registration no.DN-09-K-9486, therefore, a compensation of Rs.10,00,000/- was claimed.

3. Having been served with the notices of the claim petition, the respondent nos.5 and 6 herein, have chosen not to appear; however, the opponent no.3/appellant herein filed the written statement at Exh.27, thereby denying the averments made in the claim petition and prayed NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined for dismissal inter alia on the ground that the driver of the offending dumper truck was not having the effective and valid driving license at the time of accident to drive the said dumper truck and he was holding a fake driving license. It has also been contended that the claimants/respondent nos.1 to 4 have already applied for compensation under the Workmen's Compensation Act, 1923 therefore, the claimants cannot file the claim petition before the learned Tribunal under Motor Vehicle Act as the claimant has to choose either of the forum.

4. Having considered the pleadings of the parties, the learned Tribunal had framed the following issues at Exh.13 for determination:-

> (1) Whether it is proved that the deceased sustained injuries and died on account of rashness or negligence in driving on the part of the driver/s of the vehicle/s involved in the accident?
>
> (2) What amount? If any, the claimants are entitled to by way of compensation and from which of the opponents?

(3) What order?

5. Having considered the pleadings, evidence and submissions advanced by the learned counsels for the respective parties, the learned Tribunal had allowed the claim petition and awarded a sum of Rs.12,12,400/- as a compensation along with interest at the rate of 9% per annum from the date of filing the claim petition till its realization.

6. Being aggrieved and dissatisfied with the impugned judgment and award, the appellant/insurance company filed the captioned appeal.

7. Heard learned counsels for the parties.

8. Mr. Rathin P. Raval, learned counsel appearing on behalf of the appellant/insurance vehemently submitted that the appellant/insurance company is not liable to pay any compensation in as much as the original claimants/respondent nos.1 to 4 herein have received the compensation of Rs.8,39,680/- from the employer of the deceased by way of filing the claim petition under the Workmen's Compensation Act, 1923 against his employer and ICICI Lombard General Insurance Company at Labour Court, Valsad. He further submitted that the original claimants/respondent nos.1 to 4 herein cannot take the dual benefit, therefore, the claim petition filed before the learned Tribunal is not maintainable in view of provisions of Section 167 of the Motor Vehicle Act. In support of his contention, learned counsel for the appellant placed the reliance on the judgment of Hon'ble Apex Court rendered in the case of National Insurance Company Ltd. Vs. Mastan and Anr., reported in (2006) 2 SCC 641, Oriental Insurance Company Ltd. Vs. Dyamavva and Others, reported in (2013) 9 SCC 406 and judgment of Gujarat High Court rendered in the case of Oriental Insurance Company Ltd. Vs. Viliben Rambhai Zala, reported in 2017 (0) AIJEL- HC 242511.

9. Learned counsel for the appellant further submitted that the driver of the dumper truck was not holding the effective and valid driving license to drive the truck at the time of accident, therefore,

the insurance company ought to have been exonerated from satisfying the award. He further submitted that in order to prove his defense, the insurance company had examined the legal officer of the appellant at Exh.39, who proved that the driving license placed by the claimant on record is fake one. He further submitted that the liability to satisfy the NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined award cannot be fastened upon the insurance company, therefore, the captioned appeal is liable to the allowed.

10. On the other hand, Mr. Nishit A. Bhalodi, learned counsel appearing on behalf of the original claimants/respondent nos.1 to 4 herein vehemently submitted that the claim petition preferred before the Workmen's Commissioner, Valsad was filed against the employer of the deceased for seeking the compensation under the Workmen's Compensation Act, 1923 from the employer and the insurer however, the claim petition was filed before the learned Motor Accident Claims Tribunal against the tortfeasors i.e. the owner, driver and the insurer of the offending dumper truck, therefore, both the proceedings have no nexus, hence, the bar of Section 167 is not applicable in the facts and circumstances of the present case. In support of his contention, learned counsel for the respondent nos.1 to 4/original claimants placed the reliance upon the judgment of Divisional Bench of Gujarat High Court rendered in the case of Superintendent of Post Offices, Rajkot Versus Pratap Ghelabhai Maru, reported in 1985 (0) AIJEL-HC 214345, Nasimbanu Vs. Ramjibhai Bachubhai Ahir, reported in MANU/GJ/0048/2005 and judgment of Division Bench of the High Court of Himachal Pradesh rendered in the case of Gayatri Devi Vs. Tani Ram and Ors., reported in MANU/HP/0020/1976, judgment of Division Bench of the Bombay High Court rendered in the case of Inspector General of Police Vs. Sayed Adam, reported in MANU/MH/0352/1996, judgment of Single Bench of the High Court of Rajasthan at Jaipur rendered in the case of New India Assurance Co. Ltd. Vs. Smt. Bidami and Ors., reported in 2009 SCC OnLine Raj 3440, judgment of the High Court of Judicature at Madras rendered in the case of The United India Insurance Co. Ltd. Vs. Anthony Selvam and Ors., NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined reported in 2014 SCC OnLine Mad 3506 and Divisional Manager, New India Assurance Co. Ltd. vs. Thiru. Astalingam and Ors., passed in CMA (MD) No.443 of 2012.

11. Learned counsel for the original claimants further submitted that the insurance company could not prove the case by leading the cogent evidence on record that the driver of the offending dumper truck was holding the fake driving license. He further submitted that the learned Tribunal in absence of any cogent evidence on record, rightly fastened the liability on the insurance company to satisfy the award, therefore, the captioned appeal is liable to be dismissed.

12. Having considered the submission of the learned counsels for the parties and having gone through the record, it is to be noted that there is no dispute regarding the occurrence of accident, manner of occurrence of accident, negligence, involvement of vehicles, age, income of deceased and dependency of the claimants. The insurance company mainly challenged the impugned judgment and award on the ground of maintainability of the claim petition filed by the original claimants/respondent nos.1 to 4 herein in view of Section 167 of the Motor Vehicle Act and also on the ground of validity of the driving license.

13. So far as the contention of the learned counsel for the appellant regarding the maintainability of claim petition before the learned Tribunal in view of Section 167 of the MV Act, is concerned, it is evident from the record that in the accident, two vehicles were involved i.e. the tempo bearing registration no. DN-09-K-9486 and the dumper truck bearing registration no.GJ-18-X-9452. It is also undisputed fact that the NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined respondent nos.1 to 4 herein filed the proceedings before the Commissioner Workmen's Compensation for seeking the compensation against the employer of the deceased-Sunil Samharu Yadav and the insurance company of said tempo, namely ICICI Lombard General Insurance Company Limited. The respondent nos.1 to 4 also filed the claim petition before the learned Tribunal under Section 166 of the Motor Vehicles Act against the driver, owner and insurer of the dumper truck bearing registration no.GJ-18-X-9452, therefore, the parties before the Commissioner Workmen's Compensation and the parties before the learned Motor Accident Claims Tribunal are different. The proceedings before the Commissioner Workmen's Compensation were initiated against the employer of the deceased, who has statutory liability to pay the compensation under the Workmen's Compensation Act, 1923 while the proceedings under Section 166 of the MV Act was filed by the respondent nos.1 to 4 herein against the tortfeasors, therefore, there is no nexus between the sets of parties before the both forums.

14. Learned counsel for the appellant placed the reliance upon the judgment of Hon'ble Apex Court rendered in the case of Mastan and Anr. (supra). In Mastan's case (supra), the claimant sought the compensation against his employer and insurer before the both forums and the issue involved in that case was as under:-

> "Whether the restrictions on the defences available to an insurance company in terms of Section 149(2) of the Motor Vehicles Act have any application to the proceedings under the Workmen's Compensation Act?"

15. Having considered the facts of the case, the Hon'ble Apex Court in Para 22 observed as under:-

> NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined
> "22. Section 167 of 1988 Act statutorily provides for an option to the claimant stating that where the death of or bodily injury to any person gives rise to a claim for compensation under the 1988 Act as also the 1923 Act, the person entitled to compensation may without prejudice to the provisions of Chapter X claim such compensation under either of those Acts but not under both. Section 167 contains a non obstante clause providing for such an option notwithstanding anything in the 1923 Act."

16. As observed above, the issue before the Hon'ble Apex Court was entirely different and in Mastan's case (supra), the party before the Commissioner Workmen's Compensation and the Motor Accident Claims Tribunal was same, therefore, the ratio of Mastan's case (supra), in my humble view, is not applicable in the facts and circumstances of the present case on hand.

17. In case of Dyamavva and Others (supra), the Hon'ble Apex Court has dealt with an entirely different issue. The issue before the Hon'ble Apex Court was that as to whether, the amount of compensation deposited by the employer suo motu under Workmen's Compensation Act, 1923 would amount a bar under Section 167 of the MV Act. The Hon'ble Apex Court having considered the factual and legal proposition, in para 19 observed as under:-

> "19 In the aforesaid view of the matter, we hereby affirm the determination rendered by the Motor Accidents Claims Tribunal, Bagalkot and the High Court in awarding compensation quantified at Rs 11,44,440 to the claimant. The Motor Accidents Claims Tribunal, Bagalkot, as also the High Court, ordered a deduction therefrom of a sum of Rs 3,26,140 (paid to the claimants under the Workmen's NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined Compensation Act, 1923). The said deduction gives full effect to Section 167 The Motor Vehicles Act, 1988, inasmuch as, it awards compensation to the respondents claimants under the enactment based on the option first exercised, and also ensures that the respondent claimants are not allowed dual benefit under the two enactments."

18. The Coordinate Bench of this High Court in case of Viliben Rambhai Zala (supra) in para 15 observed as under:-

> "15 In view of aforesaid directions laid down by the Hon'ble Apex Court as well as provision of Section 167 of the Motor Vehicles Act, it is very clear that the claimants have elected the option as envisaged under Section 167 of the Motor Vehicles Act, 1988 and availed compensation as provided therein and thereby they are not entitled to maintain another claim seeking aid and advantage of the provisions of the Workmen Compensation Act, 1923. Consequently, therefore, the judgment and award passed by the learned Commissioner for Workmen Compensation, Junagadh, is not sustainable at law and required to be quashed and set aside"

19. The similar issue came for consideration before the Divisional Bench of this High Court in case of Pratap Ghelabhai Maru (supra) and Nasimbanu (supra). In case of Pratap Ghelabhai Maru (supra), the Divisional Bench in para 3 of the judgment observed as under:-

> "3. Second ground which is urged on behalf of the appellant is that since the claimant has received compensation under the Workmen's Compensation Act, it Is not open to him to claim compensation or damages from the appellants. We not do find any substance in this argument also. It is true that under Section 110 of the Motor Vehicles NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined Act, the claimant could not have claimed compensation under, the Workmen's Compensation Act and also damages from the owner and insurer of auto rickshaw. So far as the owner of auto rickshaw was concerned, the claimant had to make a choice either to claim compensation under the Workmen's Compensation Act or to claim damages under the general law However, the question of making

> Selection does not arise so far as third party is concerned. Claimant could not have claimed any compensation from the appellant under the Workmen's Compensation Act. Therefore, there is no question of making any choice as urged on behalf of the appellants. Reliance was sought to be placed on a decision of this Court in Premier Insurance Co. v. Gambhir singh AIR 1975 Gujarat 133 in support, of the argument that claimant is not entitled to claim damages he having obtained compensation under the Workmen's Compensation Act. This decision on which reliance is placed has no application to the facts of this case. That was a case in which two vehicles were not involved in the accident. The claimants in that case were claiming compensation for rash and negligent driving of motor vehicles driven by the driver employed by the owner who had engaged them as labourers. It was the background of the facts which obtained in that case that the court held that the claimants had to choose between two remedies available to them one under the Workmen's Compensation Act and other under the general law. Such is not the position in the instant case. Therefore the mere fact that the claimant has obtained compensation under the Workmen's Compensation Act does not disentitle him from claiming compensation or damage from the appellants. Therefore, the second ground urged on behalf of the appellants also fails."

20. Similarly the Divisional Bench in case of Nasimbanu (supra), considered the issue at length and in para 5 observed as under:-

> NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined
> "5. Giving considerations to these submissions, we find that contention of the Insurance Company is that amount of Rs.80,000/= paid to the claimants under the Workmen's Compensation Act, 1923, be deducted from the compensation paid under the Motor Vehicles Act, 1939. This is challenge to quantum of compensation, therefore, contention raised by appellant is not sustainable. In this case, the appellant Insurance Company has not obtained permission to contest the claim under section 110-C (2A) of the MV Act, 1939. In case permission is not sought for contesting the claim under section 110C(2A) of the Motor Vehicles Act, 1939, defences available to the Insurance Company are limited under Section 149, Motor Vehicles Act, 1988. Since challenge is to quantum, which is not available defence under this provision, it cannot be raised by the appellant. For these reasons, appeal by Insurance Company is not maintainable.

[See : National Insurance Co. Ltd., Chandigarh v. Nicolletta Rohtagi and Ors., AIR 2002 SC 3350 wherein the apex court has overruled the decision in United India Assurance Co. Ltd. versus Bhushan Sachdev, reported in 2002 ACJ page 333, referred to by Mr. Parikh. See: New India Assurance Co. Ltd. v. Smt. Tara Sundari Phauzdar and Ors., AIR 2004 Calcutta 1 Full Bench and National Ins. Co. Ltd. v. Challa Bharathamma and Ors. (2004) 8 SCC 517; Chinnama George and Ors. v. N.K. Raju and Anr. (2000 ACJ

777)].

Even otherwise, there is no force in the submissions raised by the learned counsel for the appellant-Insurance Company. Section 110A of Motor Vehicles Act, 1939 is applicable to a person who has two remedies against the joint tort feaser(s) while object of Section 3(5) of the Workmen's Compensation Act, 1923, is to save the employer from double jeopardy, meaning thereby, from multiplicity of litigation, one under the Workmen's Compensation Act, 1923, and NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined other under the Motor Vehicles Act, 1939. Where a claimant can avail one remedy against the employer under the Workmen's Compensation Act, 1923, he is not debarred from raising / claiming compensation under the Motor Vehicles Act, 1939, against the tort feaser. Present is a case where claimants are receiving compensation from the employer who is statutorily bound to pay the same on the death of deceased being his Master. This is separate relationship and liability and has nothing to do with the liability of a tort feasor under the Motor Vehicles Act, 1939. In the claim petition before the Claims Tribunal, employer and insurer of Tanker are not party, therefore, no claim has been raised against them. Submission raised by the appellant, if accepted, would mean that claimants should feel satisfied with whatever is paid to them under the Workmen's Compensation Act, 1923, by the employer, and thereby, tort feaser escaping liability under the Motor Vehicles Act, 1939, which remedy is independently available to the claimants as third party qua the offending vehicle.

Chief Justice Shri R.S. Pathak (as His Lordship then was) speaking for the Division Bench of High Court of Himachal Pradesh in Smt. Gayatri Devi v. Tani Ram and Ors. (AIR 1976 HP 75) said in paragraphs 13, 14, and 15 that:

> "13. In Radhabai Bhikaji v. Baluram Daluram, 1970 Acc CJ 403 (M.P.) the Madhya Pradesh High Court held that duplication of proceedings occasioned by a claim instituted under the Workmen's Compensation Act and a claim filed under the Motor Vehicles Act was intended to be avoided and therefore, Section 3(5) of the Workmen's Compensation Act was enacted. With great respect, it seems difficult to accept the reasons which have found favour with that Court. When Section 3(5) of the Workmen's Compensation Act was enacted, the Legislature could not have had in mind the Motor Vehicles Act, which was enacted in 1939. Indeed, in 1923, there was not statute which provided for any other tribunal for entertaining NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined claims in respect of such injuries or death. None has been pointed out to us. It seems that when Section 3(5) of the Workmen's Compensation Act was enacted, the Legislature could have had in mind the ordinary courts only as an alternative forum for entertaining a claim for damages. It will be noted in particular that Section 3(5) speaks of a `suit' and as has been well settled a suit is `a civil proceeding instituted by the presentation of a plaint'. That was laid down by the Privy Council in Hans Raj Gupta v. Dehra Dun Mussoorie Electric Tramway Co. Ltd., AIR 1933 PC 63. A proceeding for compensation made under the Workmen's Compensation Act or under the Motor Vehicles Act cannot be confused with a suit. That ingredient of Section 3(5) has apparently not been noticed by the learned Judges in the cases cited before us. Moreover, when the Madhya Pradesh High Court in Radhabai Bhikhaji (supra) spoke of a duplication of proceedings it was apparently not pointed out to the learned

Judges that there is no duplication in the true sense, and that the claim under the Workmen's Compensation act is based on a statutory liability while that under the Motor Vehicles Act rests on liability in tort. In Shardaben v. M.I. Pandya, 1971 Acc CJ 222 = (AIR 1971 Guj 51) the Gujarat High Court identified Claims Tribunal as a court, and that is also the view which appears to have been taken by the Madhya Pradesh High Court in Krishnan Gopal v. Dattatraya, 1971 Acc CJ 372 = (AIR 1972 Madh Pra 125) and again in Mangilal v. Union of India, 1973 Acc CJ 352 = (AIR 1974 Madh Pra 159) (FB). Reliance has been placed by the respondents on Jaswant Rai v. National Transport & General Co. Ltd., 1972 Acc CJ 21 (Punj), but in that case it was not specifically considered that a claim could not lie directly under the Workmen's Compensation act if a claim had already been made under the Motor Vehicles Act. If the decision in that case can be construed as the respondents would have it, I regret I am unable to agree with the law laid down by it. Following the view taken by the Madhya Pradesh High Court in Radhabai NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined Bhikaji (supra), the Mysore High Court held in Yellubai Torappa Kadam v. M/s. Mujawar & Co., 1973 Acc CJ 242 (Mys) that a Claims Tribunal under the M.V. Act could be described as a `court of law' in the sense used in Section 3(5) of the Workmen's Compensation Act, and therefore, a claimant could file a claim either under the Workmen's Compensation act or under the Motor Vehicles Act, but not under both. The view proceeds on the assumption that because Section 110-F excludes a civil court from adjudicating on claims falling within the jurisdiction of the Claims Tribunals, it is intended that Claims Tribunals could substitute for civil courts and can therefore be regarded as `courts of law'. With respect, the assumption is not justified. The purpose of Section 110-F of the Motor Vehicles Act has already been discussed above, and in my opinion the exclusion of the civil court does not make a Claims Tribunal a court of law, notwithstanding that the Claims Tribunal exercises some of the powers of a civil court under the Code of Civil Procedure. I may also add that, as was observed by the Madhya Pradesh High Court in Radhabhai Bhikaji (supra), there is no material distinction relevant to the point before us between the expression `civil court' and the expression `court of law' used in Section 3(5) of the Workmen's Compensation Act.

14. Having regard to the manner in which the law has developed, to which reference has already been made, I find myself unable to accept the proposition that a claimant, to whom Section 110-AA of the Motor Vehicles Act does not apply, cannot claim compensation both under the Workmen's Compensation Act and the Motor Vehicles Act.

15. I am of the opinion that neither Section 3(5) nor Section 19 of the Workmen's Compensation Act operates as a bar to the consideration of the claim made by the appellants under the Motor Vehicles Act.

NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined That claim was maintainable before the Claims Tribunal, and therefore the present appeal is maintainable. The

institution of a claim under the Workmen's Compensation act does not bar the present appeal."

Similar view has been taken by the Division Bench of this Court (Coram : R.C. Mankad & S.A. Shah, JJ) in Superintendent of Post Offices, Rajkot and Ors. v. Pratap Ghelabhai Maru and Ors. [1987 ACJ 674]. Relevant paragraph 3 of the said judgment is reproduced as under:

> "3. Second ground which is urged on behalf of the appellant is that since the claimant has received compensation under the Workmen's Compensation Act, it is not open to him to claim compensation or damages from the appellants. We do not find any substance in this argument also. It is true that under section 110AA of the Motor Vehicles Act, the claimant could not have claimed compensation under the Workmen's Compensation Act and also damages from the owner and insurer of auto rickshaw. So far as the owner of auto rickshaw was concerned, the claimant had to make a choice either to claim compensation under the Workmen's Compensation Act or to claim damages under the general law. However, the question of making such election does not arise so far as third party is concerned. Claimant could not have claimed any compensation from the appellant under the Workmen's Compensation Act. Therefore, there is no question of making any choice as urged on behalf of the appellant. Reliance was sought to be placed on a decision of this court in Premier Insurance Co. v. Gambhirsing AIR 1975 Gujarat 133, in support of the argument that claimant is not entitled to claim damages he having obtained compensation under the Workmen's Compensation Act. This decision on which reliance is placed has no application to the facts of this case. That was a case in which two vehicles were not involved in the accident. The claimants in rash and NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined negligent driving of motor vehicles driven by the driver employed by the owner who had engaged them as labourers. It was in the background of the facts which obtained in that case, that the court held that the claimants had to choose between two remedies available to them - one under the Workmen's Compensation Act and other under the general law. Therefore, the mere fact that the claimant has obtained compensation under the Workmen's Compensation Act does not disentitle him from claiming compensation or damage from the appellants. Therefore, the second ground urged on behalf of the appellants also fails."

In National Insurance Company Ltd. v. Philomina Mathew and Ors., AIR 1993 Kerala 226, Full Bench of the Kerala High court has held that if a claim for compensation arises under both the Acts, there is no doubt that the liability of the insurer is wider and not restricted to cases of insolvency, etc., mentioned in Section 14 of the WC Act, 1923. See also in case of Sharad Ganpat Deshmukh and Ors. v/s. Kunda Ashok Polade and Ors. reported in 2003 IV LLJ (Suppl) NOC 480, Bombay High Court.

This apart, contention as regards Section 3(5) of the Workmen's Compensation Act, 1923, has neither been raised either in the Written Statement nor in the memorandum of Appeal before this Court by the Insurance Company. As such, the opponents-claimants have no opportunity to meet

the same. Consequently, it cannot be allowed to be raised at this stage. Even otherwise, if barred, it is recourse to Civil Courts stricto senso and not the Tribunals which came into existence in 1939 while the Workmen's Compensation Act in 1923. In Smt. Gayatri Devi v. Tani Ram and Ors., AIR 1976 Himachal Pradesh 78, it has been observed as under:

> "11. Reliance was placed by the respondents on Section 19 of the Workmen's Compensation Act in support of the proposition that if an NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined application for compensation is made under section 3 of the Workmen's Compensation Act, it is the Commissioner under that Act who alone has jurisdiction to decide the question and that the civil court is barred from dealing with it. Section 19 provides.-
>
> 19. Reference to Commissioners.- (1) If any question arises in any proceedings under this Act as to the liability of any person to pay compensation (including any question as to whether a person injured is or is not a workman) or as to the amount or duration of compensation (including any question as to the nature or extent of disablement), the question shall, in default of agreement, be settled by a Commissioner.
>
> (2) No Civil Court shall have jurisdiction to settle, decide or deal with any question which is by or under this Act required to be settled, decided or dealt with by a Commissioner or to enforce any liability incurred under this Act."

To my mind, section 19 refers to a liability arising by virtue of the Workmen's Compensation Act. Sub section (1) speaks of a proceeding under the Act. Such a proceeding relates to the statutory liability created under that Act. And sub section (2) specifically mentions 'any liability incurred under this Act'. The liability adjudicated upon by Claims Tribunals under the Motor Vehicles Act is a liability founded in tort and falls outside the scope of Section 19 of the Workmen's Compensation Act."

[Also see Krishi Utpadan Mandli Samiti through its Secretary, Anand Nagar and Arvind Chaubey and Anr. [2003-I-LLJ 507].

Further, the question for determination is whether the amount of Rs.80,000/= awarded under the Workmen's Compensation Act, 1923, is liable to be deducted from the compensation paid under the Motor NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined Vehicles Act, 1939? This question shall be considered when the question of enhancement of compensation is considered.

Further, it is found that Claim Petition was filed on 6.4.1988 and Written Statement has been filed on 22.8.1988. Thereafter, matter remained pending before the Tribunal till 1996. Issues were framed on 29.6.1996, deposition of claimants recorded on 7.2.1997, and second witness of claimants examined on 8.8.1997. The Insurance Company did not examine any witness in its defence. Award was pronounced on 30.8.1997. With this background we find that delay is from 22.8.1988 to

29.6.1996. It is not because of claimants. Rather, they represented to this Court on administrative side seeking direction to the Claims Tribunal to dispose of the matter at an early date. Consequently, claimants cannot be held responsible for delay, therefore, they are entitled to interest from 6.4.1988 at the rate allowed by the Claims Tribunal."

21. The issue also came for consideration before the Divisional Bench of High Court of Himachal Pradesh in case of Gayatri Devi (supra). The Divisional Bench in paras 14 and 15 of the judgment observed as under:-

> "14. Having regard to the manner in which the law has developed, to which reference has already been made, I find myself unable to accept the proposition that a claimant, to whom Section 110-AA of the Motor Vehicles Act does not apply, cannot claim compensation both under the Workmen's Compensation Act and the Motor Vehicles Act."
>
> "15. I am of opinion that neither Section 3 (5) nor Section 19 of the Workmen's Compensation Act operates as a bar to the consideration of the claim made by the appellants under the Motor Vehicles Act.

> That claim was maintainable before the Claims Tribunal, and therefore the present appeal is maintainable. The institution of a claim under the Workmen's Compensation Act does not bar the present appeal."

22. Similarly, the issue came for consideration before the Divisional Bench of High Court of Bombay in case of Sayed Adam (supra). The Divisional Bench in para 13 of the judgment observed as under:-

> "13. With great respect we find ourselves unable to agree with the aforesaid decision rendered by the Division Bench of the Allahabad High Court. In our opinion from the reading of the Section, it is clear that it is only in the cases were the tortfeasor and the

> employer happens to be one and the same person that the workman or the claimant would have the choice and it is only in such a situation that the workman or the claimant has to exercise his option, namely, he can either proceed against his employer before the Accidents Claims Tribunal or he can proceed against the employer under the provisions of the Workmen's Compensation Act. So far as a tortfeasor other than the employer is concerned it is clear that the workman can never proceed against such a tortfeasor under the provisions of the Workmen's Compensation Act. We see absolutely no logic or reason to bar the remedy of the claimant or the workman against his employer or the tortfeasor when in the facts and circumstances of the case he could proceed against the tortfeasor only under the provisions of the Motor Vehicles Act and against the employer only under the provisions of the Workmen's Compensation Act."

23. The issue also dealt with in detail by the High Court of Rajasthan at Jaipur in case of Smt. Bidami & Ors. (supra), wherein para 22 to 26 observed as under:-

> NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined
> "22. Thus, from the legal position emerging out of aforesaid case laws quoted extensively and on a thoughtful consideration, this Court is of the opinion that the claimants having been awarded and received compensation under the provisions of Motor Vehicles Act, 1988 for the death of Pappu Ram in an accident which took place on 29.7.2003, in January, 2006 were not debarred from making claim against the employer Gopi Ram under the provisions of Workmen's Compensation Act, 1923 before the Workmen Compensation Commissioner. Obviously, not only the respondents in two proceedings are different, namely tortfeasor in claim under Section 166 of the Motor Vehicles Act and employer in the proceedings under the Motor Vehicles Act, 1923, but insurance contracts in question are also two different contracts, of course with the same insurance company, New India Assurance Company. In one case, the same insurance company - appellant herein insured the employer against the claim arising under the Workmen's Compensation Act in respect of his employees meeting death or injury during the course of employment and other the owner of the vehicle or tortfeasor insured to pay compensation to third party in case of accident resulting in the death or injury to such third party.
>
> 23. The intention of creating bar of estoppel in the form of doctrine of election in Section 167 of the Motor Vehicles Act, 1988 is also only to save same person viz. the employer where such employer happens to be tortfeasor also, being vexed twice over for the same cause of action. Intention of bar created either under Section 167 of the Motor Vehicles Act, 1988 akin to Section 110-AA of the old Motor Vehicles Act, 1939 or Section 3(5) of the Workmen's Compensation Act, 1923 or Section 53 of the ESI Act, 1948 is the same. Said bar nowhere provides nor it could be possibly intended to provide for any exemption or immunity to other tort-feasor even if he was negligent
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> and liable in tort law to pay damages for causing death or bodily injury to other

> person or the claimants. Even if the injured or the deceased person as workmen have received compensation under the provisions of Workmen Compensation Act, 1923 or the ESI Act, 1948, there is no question of same cause of compensation i.e. death or injury resulting in double benefit to the claimants if separate compensation under Motor Vehicles Act is also given to such claimants. Such two sets of compensation if provided by two separate legislations against different persons under different contracts of insurance enures to the benefit of the claimants, there is no prohibition in law nor it can be said to be amounting to unjust enrichment or unfair and excessive or double compensation to the claimants. The payment of just and fair compensation under the provisions of Motor Vehicles Act as determined by the Tribunal does not impede, curtail, restrict or prohibit in any manner, the compensation payable to the claimants for the same death or injury under the provisions of Workmen's Compensation Act or the ESI Act. The payment of compensation under the one Act at prior point of time or later depending upon the forum the claimants choose to first approach also does not matter.

Since the benefits accruing and flowing from two different enactments flow in two different streams and such claim is made against two different parties; employer in one case and tort-feasor other than employer in another case, one compensation does not militate or offend against other compensation. The claimants also are rightly entitled to both the compensations in such cases and one cannot be set off or deducted from the other.

24. The judgments of Punjab & Haryana High Court and Gauhati High Courts cannot be followed in view of contra views expressed by Bombay High Court and Gujarat High Court and ratio of Supreme court decisions cited supra.

25. Therefore, in the considered opinion of this Court, in the present NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined case, doctrine of election under Section 167 of the Motor Vehicles Act, 1988 did not apply qua the claimants and the claimants Smt. Bidami and ors. though having received compensation for death of Pappu Ram under the provisions of Motor Vehicles Act, could also be awarded and given compensation under the provisions of Workmen's Compensation Act, 1923 against the employer and his insurer and therefore, there is no error in the impugned award of the Workmen's Compensation Commissioner dtd.31.3.2008. The insurer would naturally pay such compensation under separate contract of insurance with the employer Sh. Gopi Lal and cannot claim any deduction or set off of the compensation already paid to the claimants under the award of the Motor Accident Claims Tribunal, which was paid under a separate contract by the tortfeasor. Had the tortfeasor before MACT and Workman Compensation Commissioner been the same person, namely the employer and owner of Truck which Pappuram, deceased was driving, the claimants, legal representatives of Pappuram would have been debarred from claiming compensation again before the Workman Compensation Commissioner against the same tortfeasor employer from whom they had received compensation under the award of Motor Accident Claims Tribunal, but since such compensation was paid by other tortfeasor, the owner of the other vehicle, the Trailer under MACT award, therefore there is no bar in law for the claimants to claim compensation from the ownder employer of the truck in the forum of Workman

Compensation Commissioner under the Workman Compensation Act, 1923.

26. Death or injury is the event, which gives rise to cause of action to the claimants. Since two different forums are provided under two independent legislations and such compensation is claimed from two different persons and insurance companies reimburse such claims under two different insurance contracts, there is no conflict between the two and doctrine of election does not apply in such cases. There NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined is no question of same person being vexed twice over in two different forums nor there is any duplication of compensation nor any question of double benefit or unjust enrichment of the claimants does arise in such cases. It may be because of the same death or injury but as stated above, such death or injury though embedded in the cause of action in both the forums, compensation from both such forums are not mutually exclusive or in mutual conflict in such cases. Both are not such 'pecuniary advantages' which have to be balanced or set off against each other to determine the just and fair compensation for 'loss or gain to dependants on such death or injury'. This is what the ratio of above referred Supreme Court decisions appears to be. Therefore, this Court is of the firm belief that the award of the Workmen Compensation Commissioner in the present case cannot be set aside on the ground that same claimants had received compensation under the award given by MACT against the different tortfeasor."

24. Similarly, the Madras High Court dealt with the issue in case of Anthony Selvam & Ors. (supra) and Thiru. Astalingam (supra). In Anthony Selvam & Ors. (supra), the Court observed in para 23 is as under:-

> "23. From an analysis of the above said judgments and the reasoning assigned by this court, the principles governing the election provided under Section 167 of the Motor Vehicles Act, 1988 and the corresponding bar can be deduced as follows:
>
> (1) In case the accident arises out of the use of the motor vehicle and it results in death or injury, the legal heirs of the deceased or the injured shall be entitled to claim compensation under the provisions of the Motor Vehicles Act, 1988 against the owner, NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined driver and insurer of the offending vehicle on the basis of the tortuous liability which has been made statutory; (2) In case the owner of the offending vehicle happens to be the employer of the deceased or injured, as the case may be, then the legal heirs of the deceased or the injured may make a claim either under the Motor Vehicles Act, 1988 or under the Employees'' Compensation Act, 1923;
>
> (3) If the claim is made under the Employees'' Compensation Act, 1923 and it is allowed by the Commissioner, then the claimants cannot make a claim under the Motor Vehicles Act, 1988; (4) If the claim made under the Employees'' Compensation Act is dismissed holding that the deceased or the injured was not a workman under the alleged employer or that the accident did not arise out of and in the course of the employment of the deceased or injured, then the dismissal of the claim under the Employees'' Compensation Act, 1923 will not be a bar for making a claim under the

Motor Vehicles Act, 1988;

(5) In case the claim is made at the first instance under the Motor Vehicles Act, 1988, there is no possibility of the claim being negatived in toto if the accident had resulted in death or permanent disability attracting the no-fault liability clauses found in the Motor Vehicles Act, 1988. In such cases, the claimants cannot make a claim under the Employees'' Compensation Act, 1923 after getting an award in the Motor Accident Claims Tribunal; (6) In case the claim is made under the Motor Vehicles Act, 1988 against the owner of the offending vehicle, who was not the employer of the deceased or injured, as the case may be, and the driver or insurer of the said vehicle, after an award is passed by the Motor Accident Claims Tribunal, a claim against the employer of the deceased or the injured, as the case may be, under the Employees'' Compensation Act, 1923, who was not a respondent in the claim will be maintainable, but after ascertaining the amount NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined payable under the Employees'' Compensation Act, 1923, the Commissioner shall direct the employer and its insurer to pay only the difference between the amount calculated under the Employees Compensation Act and the amount awarded by the Motor Accident Claims Tribunal under the Motor Vehicles Act, 1988, only if the compensation payable under the Employees'' Compensation Act exceeds the amount awarded under the Motor Vehicle Act;

(7) In case claim is made under the Employees'' Compensation Act against the employer and an award is passed and a claim for compensation is made under the Motor Vehicles Act against the owner of the offending vehicle not being the employer of the deceased or injured and against the driver and insurer of the offending vehicle on the basis of tort, then while determining the compensation under the Motor Vehicles Act, the amount obtained as compensation under the Employees'' Compensation Act, 1923 shall be taken into account and that should be deducted. After deducting the same, the balance amount alone shall be awarded as compensation in the MCOP before the Motor Accident Claims Tribunal."

25. The gist of the aforesaid judgments referred hereinabove is that the bar of Section 167 of MV Act is applied only where the claimants seek compensation under the Motor Vehicles Act from the employer and insurer. When the parties before the both forums are entirely different, the bar of Section 167 of the MV Act would not apply. The liability under Workmen's Compensation Act, 1923 is the statutory liability of the employer while the liability under Section 166 of the MV Act is tortious liability. If the claimants have already claimed the compensation from the employer and insurer under the Workmen's NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined Compensation Act, they cannot claim the compensation under the Motor Vehicle Act from the employer and insurer; however, they can claim the compensation from the tortfeasors other than the employer and insurer of the deceased or injured. Thus, considering the legal proposition as emerges from the set of judgments referred above, the learned Tribunal had not committed any error in relying upon the ratio of judgment of the Divisional Bench of this Court

rendered in the case of Nasimbanu (supra). Hence, the contention of the learned counsel for the insurance company is not acceptable and hence rejected.

26. So far as the contention of the learned counsel regarding license is concerned, it is to be noted that in order to prove its defense, the legal officer of the insurance company stepped into witness box to prove its defense. The learned Tribunal after considering the set of evidence on record, in para 23 observed as under:-

> "23. It is further submission on behalf of opp.no.3 that opp.no.1 driver of offending vehicle did not possess valid driving license. In the present case, on behalf of claimant Form No.6 i.e. driving license is produced at Mark-5/5. It is submission from the other side that said driving license has never been issued by the issuing authority. In respect of said submission, legal officer of the insurance company has been examined at Exh.39 and he has stated that driving license produced by the claimant is fake one. It is required from corroborative authentic documentary evidence to prove this case and therefore on behalf of opponent investigation report submitted by the insurance company's investigator is produced at Mark-38/2 and according to insurance company said investigating officer has obtained certificate under the RTI and accordingly the driving license produced by the claimant is fake one. In the present case, considering the nature of NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined evidence produced by the opp.no.3, it cannot be believed that the license produced by the claimant is fake one, because no document has been produced from which it can be believed that certificate is produced at Mark-38/3 alleged to be given by the licensing authority, DEORIA is not produced from the proper custody nor it can be believed that investigation officer has obtained the same under the RTI. It is pertinent to note that, on behalf of insurance company an application calling upon responsible officer of RTO office, Deoria has been preferred at Exh.36 and same was granted by this Tribunal. Thereafter, notice has been issued and covered thereof has been given to the Ld.Adv. for the opp.no.3 personally for its service. But summons could not be served on the given address in the application. Thereafter, no effort has been made to call upon such witness to prove the contention of the insurance company with regard to fake license. Hence, in absence of any positive, cogent evidence and merely relying upon oral evidence of law officer of insurance company it cannot be believed that license of opp.no.1 produced by the claimant is fake license. Therefore, submission made on behalf of opp.no.3 is not tenable."

27. The learned Tribunal after considering the material on record rightly observed that the insurance company could not prove on record that the license in question was fake. Recently the Hon'ble Apex Court in the case of Hind Samachar Ltd. Vs. National Insurance Company Ltd. And Ors., reported in 2025 INSC 1204, wherein para 17 observed as under :-

> "17. The insurance company from the totality of the circumstances has to bring out the absence of due diligence in the employment of the driver or the entrustment of

the vehicle, to prove breach by the insured, which is totally absent in the present case. The High Court NEUTRAL CITATION C/FA/517/2019 JUDGMENT DATED: 19/01/2026 undefined had erred in finding that there was collusion between the employer and Civil Appeal Nos.12442-12446 of 2024 the employee merely for reason of the driving licence having been produced by the employer and the driver having not contested the claim. The driver, as has been noticed in a number of decisions of this Court, would have kept himself away from the box, for fear of incriminating himself; since a prosecution was pending against him. In any event, the vicarious liability to satisfy the damages caused by the negligence of the employee is on the employer, the later of whom has to contest the matter. Not only was the driving licence, as issued to the driver produced, but, a certificate showing its further renewal was also produced. In fact, we specifically notice that the renewal made is not an automatic renewal which has to be carried out within 30 days of the expiry of a driving licence, as per the Motor Vehicles Act and the Rules made thereunder. Herein the validity period of the licence, originally issued expired on 04.04.1994 and the renewal was on 11.08.1994."

28. Now coming to the case on hand, the Insurance Company could not prove, that the driving license in question was fake, by leading the cogent evidence on record. Secondly, if for the sake of argument, it is presumed that license was fake, even the Insurance Company could mot prove on record that the factum of fake license was within the knowledge of the owner of the offending vehicle and despite knowledge he permitted the driver to drive the said vehicle. Hence, the insurance company could not prove the fundamental breach of policy.

29. Thus, in view of above discussion, the captioned appeal is devoid of merits and hence stands dismissed.

30. The learned Tribunal is directed to disburse the entire amount of compensation to the original claimants, after deducting deficit of Court fee, if any, after due verification. The amount, if any, lying deposited with the registry of this Court, the same shall be transmitted to the learned Tribunal concerned forthwith. IA, if any, stands disposed of accordingly.

31. Record & Proceedings, if any, be sent back to the learned Tribunal concerned. No order as to costs.

32. In view of the dismissal of the main appeal, the connected Civil Application also does not survive and stands disposed of accordingly.

(MOOL CHAND TYAGI, J) HARSHIT